7.9.1.3 Provident fund

1. General Provident Fund	• It is compulsory only for government employees. • 10% of basic salary is contributed in the provident fund. • The employee can take loan from this fund and can return the loan in easy instalments every month, deducted from his/her salary. • At the time of retirement, the person gets this money in lump sum and pension. • Get tax rebate on amount invested. • Rate of interest is 8.5%.
2. Contributory Provident Fund	• This is compulsory for private and semi-private company employees. • In this both employee and the employer contribute certain percentage of money. On retirement, the employee gets his/her part of contribution in a lump sum but he/she gets employers' contribution in instalments as pension. • Eligible for tax rebate.
3. Public Provident Fund	• This is a statutory scheme of central government framed under the provisions of the Public Provident Fund Act, 1968. Such account can be opened in any Head Post Office, any branch of the State Bank of India and selected branches of other Nationalized Banks. • This is a 15 year scheme and the rate of interest is 8.8% • Only one Public Provident Fund account can be opened by any adult in his/her names or as guardian of a minor. • Invested amount can be minimum ₹ 500/- and maximum ₹ 1, 00,000/- in a financial year. The financial year starts from year ending 31st March.

7.9.1.4 Insurance

Insurance is provided by private as well as government institutions. Life Insurance Corporation is provided by government of India. It is a means of providing against loss caused by natural or man-made factors. It is the most popular method of securing the future.

LIC has a variety of schemes to choose from. These schemes cater to all categories of people and to their diverse needs. Some of the popular schemes are given below:

7.9.1.5 Shares

Shares are a fractional part of the capital of a company. When a company wants to

1. New Money Back Plan-(20 years)	• This is a participating non-linked plan which offers an attractive combination of protection against death throughout the term of the plan. • Also there is periodic payment on survival at specified durations during the term.

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